EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sanchez Mira is a third-class municipality located in the northwestern part of the province of Cagayan. Upon the effectivity of Republic Act(RA) No. 11964, signed in October 2023, modernized the income classification of municipalities in the Philippines. The Municipality of Sanchez Mira was as second-class as to Income Classification. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2025 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS) and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Sanchez Mira, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	716,562,118.69	688,256,455.45	28,305,663.24
Liabilities	211,498,312.48	208,731,054.53	2,767,257.95
Government Equity	505,063,806.21	479,525,400.92	25,538,405.29
Financial Performance			
Income	219,190,155.81	185,873,426.12	33,316,729.69
Expenses	200,562,695.71	191,838,246.97	8,724,448.74
Net Income	18,627,460.10	(5,964,820.85)	24,592,280.95

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement/Upgrading/Opening of Local Access Road	12,521,555.63
Construction/Improvement of Multi-purpose Building/Evacuation Center	11,069,121.31
Construction of Drainage Canal	1,997,403.37
Repair and Maintenance of Streetlights	1,057,906.69
Provision of Power supply system	400,000.00
Improvement of slaughterhouse	599,365.57
Improvement of Municipal Gymnasium/ Evacuation Center	2,048,200.95
Improvement of Sanitary Landfill(Construction of New Cell)	865,782.74
Construction of Boundary Market	2,252,609.81
Construction of Plant Nursery	497,006.51
Purchase of heavy equipment (dump truck)	4,896,000.00
Purchase of 18 units chainsaw	1,080,000.00
Purchase of vehicle for use as ambulance	3,153,000.00
Purchase of motor vehicle as service of the mayor	2,937,000.00
Procurement of various office equipment computers, furniture and fixtures	3,546,546.85
Total	**48,921,499.43**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the Municipality of Sanchez Mira, Cagayan as at December 31, 2025.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Non-recognition of Impairment Loss and Allowance for Impairment Loss on Inter-Agency Receivables amounting to ₱0.434 million contrary to Section 27 of IPSAS 1, resulting to overstatement of Inter-Agency Receivables and Surplus for CY 2025

We recommended that Management:

a. Recognize the Impairment Loss and the Allowance for Impairment on Inter-Agency Receivables upon request for write-off in compliance with IPSAS 1, Section 27 and COA Circular 2023-008; and

b. Direct the Municipal Accountant to draw the correcting Journal Entry to present fairly the financial statement for the quarter ending March 31, 2026.

2. Various book and bank reconciling items with net amount of ₱0.243 million and ₱5,601.44, respectively have been presented in the Bank Reconciling Statements for years such as: non-recording of interest earned on deposits; non-reversion of stale checks; and non-adjustment of other reconciling items, which cast doubt on the accuracy in the cash in bank balances as at year-end, contrary to IPSAS 1 on the presentation of financial statements.

   We recommended that the Municipal Accountant:

   a. Conduct a thorough review of the reconciling items to determine their validity, origin, and whether they represent actual transactions or errors carried forward;

   b. Coordinate with the depository bank to confirm balances and trace unresolved entries; and

   c. Prepare appropriate journal entries to adjust the reconciling items with supporting documents.

3. The Cash in Bank balance of ₱143.834 million, as presented in the financial statements as at year-end, cannot be readily verified due to the absence of subsidiary ledgers and cashbooks per bank account, contrary to Section 111.1 of PD 1445, thereby weakening internal controls and casting doubt on the accuracy, completeness and reliability of the Cash in Bank account.

   We recommended that:

   a. The Municipal Accounting Office prepare and maintain subsidiary ledgers for each Cash in Bank account to properly monitor receipts, disbursements, and balances;

   b. The Municipal Treasury Office maintain cashbooks for each individual Cash in Bank account, not merely per fund, to enable timely monitoring of deposits, withdrawals, and interest;

   c. The Treasury and Accounting Offices reconcile cash in bank balances not only on a per fund basis but also per bank account to improve

accuracy and facilitate the detection of discrepancies or irregularities; and

d. The Accounting Office prepare a journal entry voucher to reclassify from Cash in Bank, Savings Account under SEF to Cash in Bank, Current Account the amount of ₱280,079.80, to ensure fair presentation of cash in bank balance in the financial statements.

4. Mandatory Contributions and loan deductions amounting to ₱1.668 million presented in the financial statements as at December 31, 2025 were not fully remitted to the Government Service Insurance System (GSIS), PhilHealth and Pag-IBIG within the prescribed period contrary to Government Service System Insurance Act of 1997, National Health Insurance Act of 2013 and Home Development Fund Law of 2009, which may result to the imposition of interest, surcharges, and penalties arising from delayed remittances and the entitlement to benefits of the affected employees may be reduced.

   We recommended that the Management:

   a. Ensure that all mandatory deductions are fully and promptly remitted to GSIS, Pag-IBIG, and PhilHealth within the prescribed deadlines to avoid the imposition of interest, surcharges, and penalties arising from delayed remittances;

   b. Coordinate with GSIS, PhilHealth, and Pag-IBIG to resolve discrepancies in billings, and submit the necessary supporting documents to update their records, which will serve as the basis for accurate succeeding billings; and

   c. Maintain accurate and updated records to identify specific employees whose loan repayments and contributions were under-remitted, and ensure that the corresponding remittances are properly credited to their individual accounts.

5. The unexpended balance of the CY 2025 Local Disaster Risk Reduction Management Fund (LDRRMF) amounting to ₱2.417 million was not transferred at year-end to the Special Trust Fund under the account Trust Liabilities-DRRMF contrary to Section 21 of RA No. 10121, resulting to understatement of Trust Liabilities - DRRMF and Transfer of Unspent DRRM Fund accounts, respectively. Moreover, the balance of Trust Liabilities – DRRMF for CY 2025 presented in the financial statements and the corresponding LDRRMF Report resulted in a variance of ₱48,609.00.

We recommended the Management to:

a. Direct the Municipal Accountant to transfer at year-end the unexpended balances of the Quick Response Fund(QRF) and DRRMF-MOOE to the Special Trust Fund under the account "Trust Liabilities-DRRMF" in the Trust Fund books pursuant to Section 21 of RA 10121; and

b. Reconcile the variance between the financial statement and LDRRM Utilization Report and prepare the adjusting entry for the variances noted.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

All of the eight (8) audit recommendations in the CY 2024 Annual Audit Report were fully implemented in CY 2025.